John Maynard Keynes

Economic Possibilities for Our Grandchildren (1930)

Keynes argues that the economic difficulties of his time should not make people lose confidence in long-term progress. He sees the depression partly as a problem of adjustment: technology is reducing the need for labour faster than society can find new jobs. This creates unemployment, but it also means that producing the goods people need requires less effort.

His optimism comes from technological progress and capital accumulation, which grows through the reinvestment of returns. If these processes continue, and major wars and excessive population growth are avoided, he expects living standards in advanced countries to become four to eight times higher within a century. He distinguishes between absolute needs, which we feel regardless of what others possess, and relative needs, which come from wanting to be better off than other people. Because absolute needs can eventually be satisfied, economic growth could allow people to spend much less time working. This is why he considers a fifteen-hour working week possible.

However, having more free time does not automatically mean knowing how to enjoy it. People have organised their lives around work and accumulation for so long that they would need to develop other interests and purposes. Keynes also expects attitudes towards money to change: once accumulating wealth becomes less necessary, greed should no longer be treated as a virtue. Yet he accepts that the motives he criticises will continue to support accumulation during the transition. His main concern is therefore what economic progress should make possible: a life in which earning money leaves room for living well.

Albert O. Hirschman

Rival Interpretations of Market Society: Civilizing, Destructive, or Feeble? (1982)

Hirschman examines why thinkers have reached very different conclusions about capitalism's effects on society. He brings together four interpretations that often developed separately, even though they address closely connected questions.

The first is the doux-commerce thesis, which sees trade as a civilising force. Because business depends on cooperation, reputation and repeated dealings, it can encourage honesty, trust and more peaceful relationships. The second, the self-destruction thesis, reverses this argument. If people increasingly judge everything according to personal advantage, they may weaken the trust and shared responsibilities that markets themselves need. Capitalism would then undermine some of the conditions supporting its own survival.

The third interpretation, the feudal-shackles thesis, argues that capitalism's problem is its weakness against older institutions and powerful elites. Development remains limited because the business class compromises with established interests instead of transforming society. The fourth, the feudal-blessings thesis, suggests that an older institutional inheritance can also have benefits. Hirschman discusses Louis Hartz's argument that America's lack of a feudal past limited its ideological diversity, making alternatives to the dominant liberal tradition harder to establish.

Hirschman's conclusion is that one explanation cannot account for every society and historical period. Some apparently opposite processes can also happen together: commercial relationships can build trust while the spread of calculation weakens other social bonds. Similarly, inherited institutions can obstruct change while preserving something valuable. Therefore, we need to examine how these forces interact in particular circumstances rather than assume that capitalism must inevitably produce either social harmony or collapse.

Paolo Sylos Labini

Prospects for the World Economy (2003)

Sylos Labini argues that the American economy's difficulties in the early 2000s were deeper than a temporary slowdown. He compares them with the 1920s, when major innovations encouraged investment and rising profits but also speculation and debt. Growing inequality makes this situation more fragile because it weakens consumer demand while providing more money for speculative activity.

Debt is central to his explanation. During an expansion, borrowing finances investment and consumption, so it supports economic growth. When growth slows, households and firms still have to meet their repayments. They may therefore reduce spending or borrow simply to repay earlier loans, which weakens demand further. The danger becomes greater when interest costs remain high relative to income growth. For this reason, he considers private and public debt together rather than treating government debt as the only concern. He also distinguishes a temporary shortage of liquidity from long-term debts tied to houses, machinery and other assets that are difficult to sell.

Sylos Labini explains why productivity growth can coexist with unemployment. Firms may replace machinery to reduce labour costs without expanding production sufficiently to create jobs. Moreover, because large oligopolistic firms can resist price reductions, weak demand may produce falling employment rather than a dramatic fall in prices.

He is therefore cautious about interpreting higher share prices or short-term GDP growth as proof of recovery. He questions whether tax cuts favouring the rich and further borrowing can resolve the underlying problems. Instead, he supports reducing the debt burden, international cooperation to expand markets, and investment in innovation. He also proposes technical and organisational assistance in education, health and production for poorer countries, connecting economic recovery with wider social development.